ARP – Workshop 3

Practice questions

Past paper question

Remolk

You are the financial controller of Remolk Industries plc (Remolk) and have responsibility for the preparation of Remolk's consolidated financial statements for the year ended 28 February 2025. Remolk prepares its financial statements in accordance with IFRS Accounting Standards.

Remolk made an investment in Espero Green Ltd (Espero) on 28 February 2025. You have to explain to one of your colleagues why the investment should be included as a subsidiary in the consolidated financial statements. Details regarding the investment in Espero are provided in Appendix 1.

The consideration paid for the shares in Espero consisted of several items. Your assistant has correctly recorded the cash paid on 28 February 2025 of £4,400,000 but no other accounting entries have been made. Details of the consideration paid for Espero are provided in Appendix 2.

Remolk has had a fully-owned subsidiary, Verclad Ltd (Verclad), and an associate, Boccana Ltd (Boccana), for several years. On 30 November 2024, Remolk sold some of its shares in Verclad. The accounting for this partial disposal still needs to be finalised along with a number of other consolidation adjustments. Relevant information concerning Espero, Verclad and Boccana is in Appendix 3.

Finally, you have to prepare the equity section of the consolidated statement of financial position as at 28 February 2025. Extracts of the equity sections of Remolk, Espero, Verclad and Boccana, prior to any consolidation adjustments, are in Appendix 4.

Requirements

1. Advise why the investment in Espero detailed in Appendix 1 should be included as a subsidiary in the consolidated financial statements of Remolk.
2. Advise on the appropriate accounting treatment for the consideration paid for Espero detailed in Appendix 2 and prepare any journal entries necessary.
3. Prepare, showing all workings and using the information in Appendix 3 and your answer to Question 7, consolidation journal entries for Espero, Verclad and Boccana for the year ended 28 February 2025, including the final step.
4. Construct the equity section of the consolidated statement of financial position of Remolk as at 28 February 2025.

Appendix 1

Investment in Espero

- Remolk acquired 40% of the 3,000,000 £1 ordinary shares in Espero from Centro Bank plc (Centro) on 28 February 2025. Centro owns the remaining ordinary shares in Espero.
- An agreement between Remolk and Centro giving Remolk the right to appoint five out of Espero's nine directors was signed on 28 February 2025.
- Under the agreement, a majority of the board of directors can determine the key operating and financial policies of Espero.

The returns Remolk receives on its investment are dependent on the profits of Espero.

Appendix 2

Consideration paid for Espero

In addition to the £4,400,000 cash paid on 28 February 2025, the purchase contract between Remolk and Centro contained the following:

- The issue of 200,000 25p ordinary shares of Remolk to Centro on 28 February 2025. Each share had an estimated fair value of £3.50 at that date.
- The total cost of the acquisition to Remolk was £90,000. Of this amount, £25,000 related to the issue of the 200,000 shares by Remolk. The costs of acquisition are outstanding at the year end.
- No accounting entries have been made for either of these items.

Appendix 3

Information concerning Espero, Verclad and Boccana

Espero

- In addition to its 3,000,000 £1 ordinary shares, Espero had retained earnings of £6,200,000 as at 28 February 2025.
- The non-controlling interest is measured at its proportionate share of net assets.
- No fair value adjustments were required at the date of acquisition.

Verclad

- Remolk had owned 100% of the share capital of Verclad for many years.
- Your assistant has prepared the following correct journal entry to account for the goodwill on acquisition which will need to be included when constructing the equity section of the statement of financial position:

			£'000	*£'000*
Dr		Share capital	2,000	
Dr		Retained earnings	4,300	
Dr		Revaluation surplus	3,500	
Dr		Goodwill	1,800	
	Cr	Investment		11,600

Being the elimination of investment and recording of goodwill

- No other consolidation adjustments have been made.
- Goodwill has not been impaired.
- Verclad made a profit of £260,000 for the year ended 28 February 2025. Profits arose evenly throughout the year.
- On 30 November 2024 Remolk sold 30% of the shares in Verclad for £7,400,000. The retained earnings and revaluation surplus of Verclad were £9,600,000 and £5,100,000 respectively at that date. The proceeds of the sale have been credited to revenue in Remolk's accounting records.
- There has been no change to the revaluation surplus of Verclad between 30 November 2024 and 28 February 2025.
- Verclad paid a dividend of £120,000 in January 2025.

Boccana

- Remolk acquired 25% of the ordinary shares of Boccana several years ago. No bargain purchase arose on the acquisition. The retained earnings of Boccana equalled £175,000 at the date of acquisition. Boccana has been accounted for as an associate company in Remolk's consolidated financial statements since acquisition.
- Boccana made a profit of £80,000 during the year ended 28 February 2025.
- Boccana's retained earnings at 28 February 2024 equalled £430,000.
- Boccana sold goods to Remolk in February 2025 and made a profit of £102,000 on the sale, of which £92,000 is unrealised at the year end.

Appendix 4

Remolk plc
Statements of financial position as at 28 February 2025 (extracts)

	Remolk	*Verclad*	*Boccana*	*Espero*
	£'000	*£'000*	*£'000*	*£'000*
Share capital	20,000	2,000	1,000	3,000
Share premium	15,800	-	300	-
Retained earnings	18,760	9,545	510	6,200
Revaluation surplus	5,200	5,100	-	-

Also provided as an Excel resource



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